

ACT TWO

Generative AI's Act Two: From Technology Hammer to Real Value

Sonya Huang, Pat Grady & GPT-4 · Sequoia Capital · September 2023

Six Decades of Technological Progress Converged to Enable Generative AI

6 DECADES

Moore's Law

Compute horsepower to process exaflops of data

4 DECADES

The Internet

COVID-accelerated growth producing trillions of tokens of training data

2 DECADES

Mobile & Cloud

A supercomputer in every human's palm — distribution at global scale

ChatGPT's launch was the spark — igniting a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

Revenue from startups alone

Months — not years — after launch

vs. SaaS which took years

ChatGPT

Fastest-growing app in history

Strong PMF among students & developers

Midjourney

Hundreds of \$M in revenue

Team of just 11 employees

Character.ai

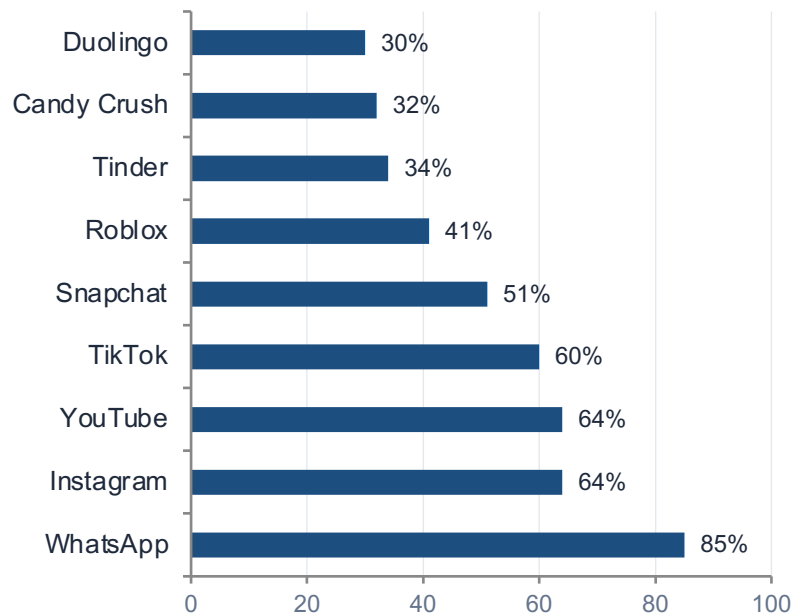
2 hrs / session

AI entertainment & companionship

Despite hype-cycle skepticism, generative AI proved real commercial demand exists — faster than any prior software category.

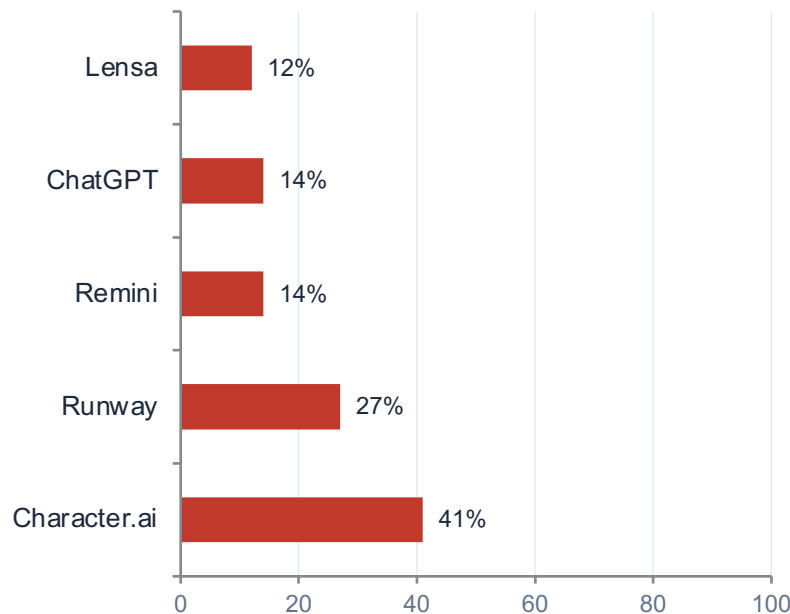
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

INCUMBENTS



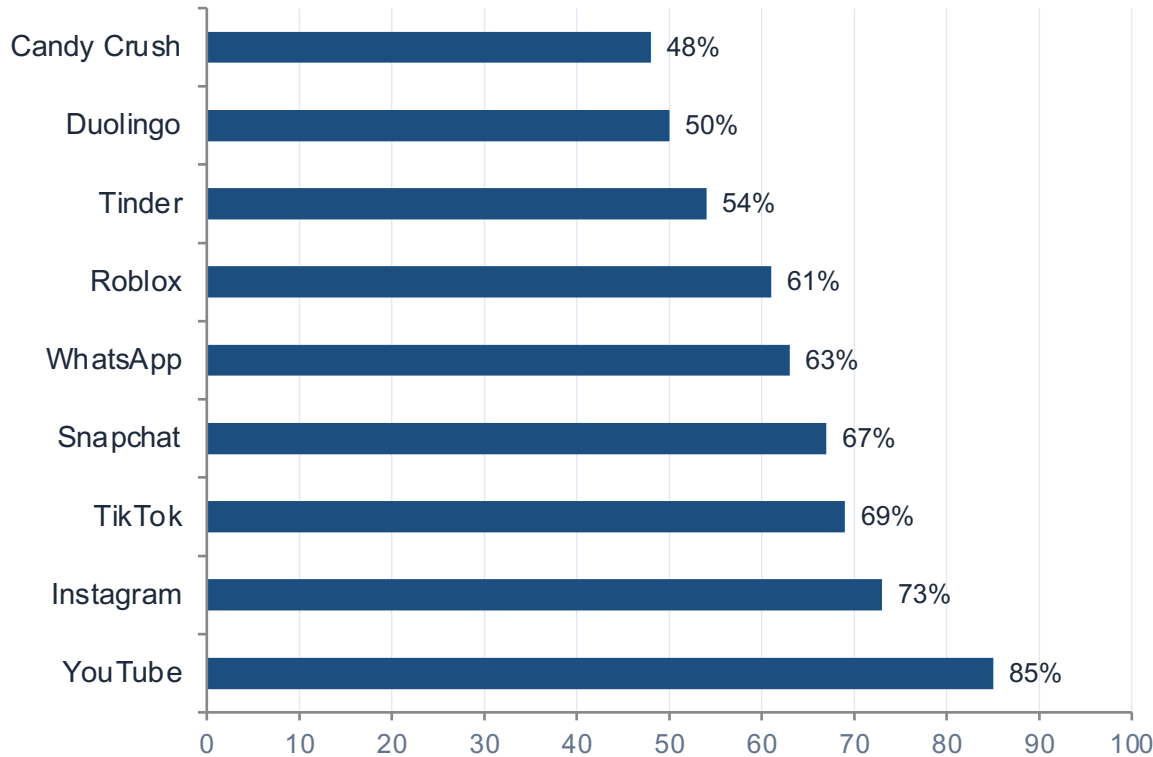
Median: 51%

AI-FIRST COMPANIES



Median: 14% (3.6× gap)

YouTube Leads Incumbents at 85% Monthly Active Usage



The Bar AI Apps Must Clear

63%

Incumbent Median
Monthly Active Usage

AI-first apps must achieve incumbent-level engagement to establish a durable competitive position.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 — Technology-Out

- Foundation model = the entire product
- Novelty demos & lightweight wrappers
- "AI + existing category" positioning
- Poor user retention — no stickiness
- Technology novelty as competitive moat

vs

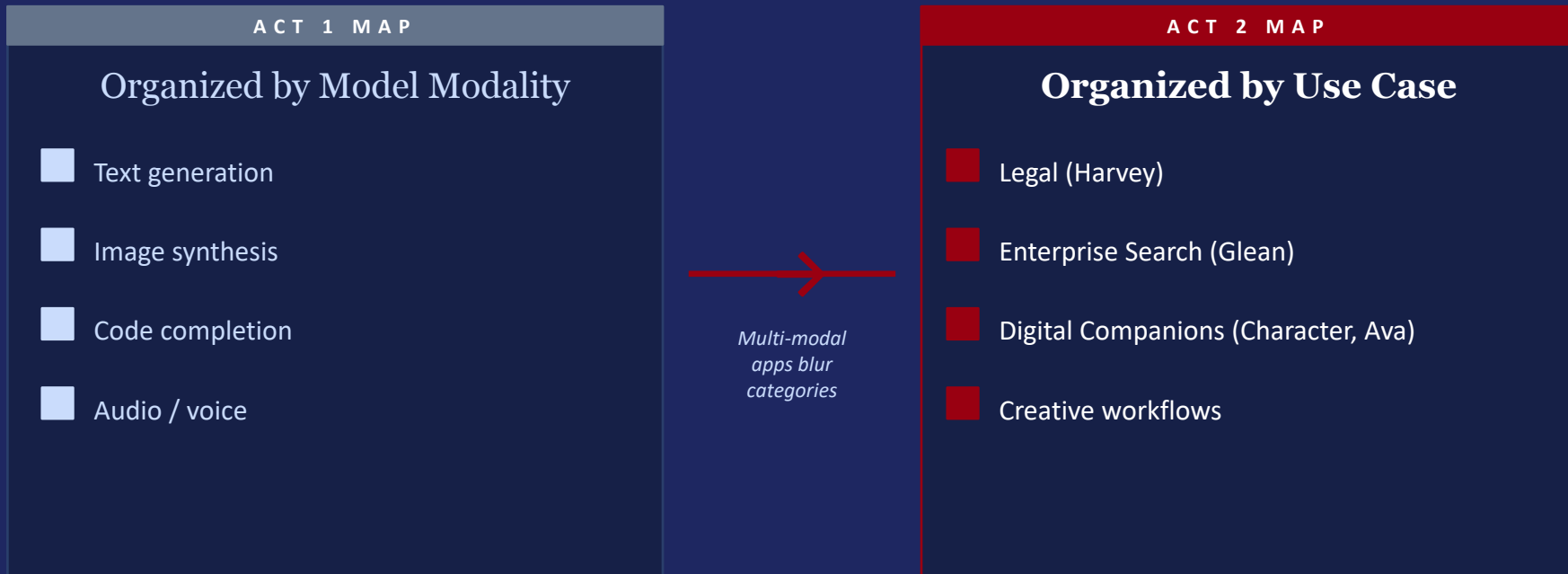
ACT 2 — Customer-Back

- Foundation model = a component of a comprehensive solution
- New editing interfaces that make workflows stickier
- Multi-modal, end-to-end problem solving
- Solves real human problems with durable engagement
- Workflow integration as competitive moat

Act 2 exemplars: Harvey (legal AI) · Glean (enterprise search) · Character & Ava (digital companions)

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia GenAI market map now reflects the transition from technology hammer to real value delivery.



Market map reorganization mirrors the Act 1 → Act 2 transition: from what the model does to what human problem it solves.

Key Takeaways: What Separates Winners in Act Two

01

Retention is the critical challenge

AI-first apps average 14% median retention vs. 51% for incumbents — a 3.6× gap that must be closed to build durable businesses.

02

Foundation models are a component, not the whole product

Thin wrappers around LLMs lack competitive moats. Winners build comprehensive, workflow-integrated solutions on top of models.

03

Multi-modal, end-to-end solutions will win

Act 2 companies solve human problems across modalities with new editing interfaces that make outputs better and workflows stickier.

04

Real demand is proven — \$1B+ revenue milestone reached

Generative AI surpassed \$1B in startup revenue faster than SaaS ever did, validating genuine commercial demand beyond the hype cycle.

05

End-to-end problem solving defines Act 2 companies

Harvey, Glean, Character, and Ava exemplify the customer-back model — starting from the human problem, not the technology capability.